

THE WALL STREET JOURNAL.

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Last week: DJIA 47916.57 ▲ 1411.90 3.04% NASDAQ 22902.89 ▲ 4.7% STOXX 600 614.84 ▲ 3.1% 10-YR. TREASURY (Reopening) yield 4.316% OIL \$96.57 ▼ \$14.97 EURO \$1.1726 YEN 159.29

What's News

Business & Finance

- ◆ **Earnings season** arrived to test the market just as stock investors were starting to shake off a weeklong rout induced by the Middle East conflict and surging oil prices. **B1**
- ◆ **Wrong-way bets** on oil early in the Iran war put a trading team hundreds of millions of dollars in the hole before it managed a partial recovery. **B1**
- ◆ **The local union** for thousands of beef processing plant workers in Colorado reached a contract with JBS a week after employees agreed to end a strike. **B1**
- ◆ **The future of a** planned aluminum smelter in Oklahoma will test whether the U.S. can revive its ability to produce materials vital to the economy and national security. **B1**
- ◆ **A crypto jury** that handles Polymarket disputes ruled that the mission to rescue a downed airman satisfied the terms of a wager that placed American boots on the ground in Iran. **B1**
- ◆ **Several major ad firms** are negotiating a potential settlement with regulators over whether they violated antitrust laws by coordinating boycotts of platforms. **A3**
- ◆ **Tucker Carlson** is getting his own book imprint from Skyhorse Publishing. **B3**
- ◆ **A British startup** is being pursued by companies in China and the U.S. for a new solar energy technology. **B3**
- ◆ **After the electric-vehicle** slump, high gasoline prices are fueling an EV comeback. **B1**

Worldwide

- ◆ **Trump's announcement** that the U.S. military will blockade the Strait of Hormuz sets up a risky new showdown that could draw American forces into a prolonged struggle to control the strategic chokepoint while compounding the global economic damage caused by the conflict. **A1, A7**
- ◆ **In its recent attacks**, the U.S. destroyed most of Iran's biggest ships but left largely intact the fleet of small, fast craft Tehran uses to control the Strait of Hormuz. **A7**
- ◆ **The attacks on Iran** failed to deprive it of most of the tools it needs to make a nuclear bomb, experts said. **A1**
- ◆ **Prime Minister Viktor Orbán** suffered a landslide defeat in Hungary's election, ending the 16-year rule of a politician who had become a standard-bearer for populist right-wing leaders worldwide. **A1**
- ◆ **Rep. Eric Swalwell** suspended his campaign for governor of California as some fellow Democrats called on him to resign over allegations of sexual misconduct. **A3**
- ◆ **A drone attack** near Baghdad's airport narrowly missed a U.S. Embassy convoy carrying a released American hostage, who later left Iraq. **A6**
- ◆ **Trump lashed out** at Pope Leo for criticizing the Iran war and called the pontiff weak on crime. **A9**
- ◆ **South Africa's** Democratic Alliance party elected a new leader who defended its coalition with the ANC and outlined plans to lead the next government. **A9**

JOURNAL REPORT
Investing Monthly:
What to know about
annuities in 401(k)s. **B5-6**

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Flag-waving election winner Péter Magyar and his supporters celebrated Sunday in Budapest.

Hungarian Voters Reject Orbán After 16-Year Rule

By MATTHEW LUXMOORE

BUDAPEST—Prime Minister Viktor Orbán suffered a landslide defeat in Hungary's election on Sunday, ending the 16-year rule of a politician who had become a standard-bearer for populist right-wing leaders worldwide.

With 98% of the votes counted, Péter Magyar's opposition party was leading with 54% of the votes compared with 38% for Orbán's party, one of the largest winning margins in Hungary's 37 years since the collapse of communism.

"What today means for our

homeland, we do not know, time will tell," Orbán said in a speech at his campaign headquarters after congratulating Magyar. "In any case, we will serve our homeland even in opposition."

Magyar, speaking to a crowd of thousands of supporters in Budapest, said he had won a David-against-Goliath fight and compared the victory to Hungary's 1848 war of independence and the 1956 uprising against the Soviet-imposed communist state.

"Together we replaced the Orbán system. Together we liberated Hungary and took

back our country," he said, standing on a stage across the Danube River from the parliament. "Those who commit the sin of dividing the nation must leave power."

Magyar appealed to Orbán not to make any decisions that would tie the hands of his government, and said his Tisza party was on course to secure a mandate to pursue a sweeping overhaul, including the prosecution of "those who stole from the country."

He said Hungary would once again be a strong ally of the European Union. The crowd

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U.S. Threat To Block Strait Sets Up Clash

High-stakes war of attrition will test whether Iran has higher pain threshold

President Trump's announcement that the U.S. military will blockade the Strait of Hormuz sets up a risky new showdown that could draw U.S.

By Vera Berggruen,
Shelby Holliday
and Georgi Kantchev

forces into a prolonged struggle to control the strategic chokepoint while compounding the global economic damage caused by the conflict.

Hours after U.S. peace talks

with Iran broke down in Pakistan, Trump said the Navy will begin the blockade, "seek and interdict" vessels that had paid Iran to get through the strait, and then start clearing the waterway of sea mines.

The blockade is set to begin at 10 a.m. Monday Eastern Time, U.S. Central Command said. The move comes after Vice President JD Vance ended 21 hours of talks in Islamabad without an agreement, blaming Tehran for refusing U.S. terms on its nuclear program.

Oil prices, which had fallen last week amid optimism about a cease-fire, were again trading above \$100 a barrel Sunday night, with U.S. crude up almost 9% at 11:30 p.m. EDT.

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Nuclear Program Puts Peace Talks at Risk

By LAURENCE NORMAN

Iran survived five weeks of punishing U.S. and Israeli bombing with most of the tools it needs to make a nuclear bomb intact, officials and experts said, posing a challenge for U.S. negotiators as the issue bedevils talks with Tehran.

Vice President JD Vance pointed to Iran's nuclear ambitions on Sunday as the core dispute after the two sides were unable to reach an agreement during 21 hours of talks in Islamabad, Pakistan.

"The simple fact is that we need to see an affirmative commitment that they will not seek a nuclear weapon and that they will not seek the tools that would enable them to quickly achieve a nuclear

Regional Impact

- ◆ **Iraqi drones** narrowly missed U.S. convoy..... **A6**
- ◆ **Hong Kong** helps the flow of Iran's hidden billions... **A8**
- ◆ **Star trader** is dealt big hit on oil bets due to war..... **B1**

weapon," he said.

Iran blamed the failure of talks on Washington's refusal to back down from what it described as maximalist demands.

The problem for the U.S. is that two rounds of fighting have dismantled much of Iran's nuclear program, but they haven't delivered blows that would put a weapon out of reach.

U.S. and Israeli strikes in

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McIlroy Repeats at Masters



FANTASTIC 4: Rory McIlroy won his sixth major, finishing 12 under par. He joins Jack Nicklaus, Nick Faldo and Tiger Woods as the only players with consecutive wins at the event. **A14**

More Taxpayers Bet 'The IRS Isn't Going to Catch Me'

The Internal Revenue Service shed thousands of enforcement employees—and some taxpayers appear eager to cheat

By RICHARD RUBIN

WASHINGTON—The Trump administration is scaling back tax enforcement, leaving fewer federal employees to audit returns, collect unpaid tax debts and deter Americans from skirting the law.

The Internal Revenue Service has shed thousands of enforcement workers since President Trump returned to office, and his fiscal 2027 budget proposal seeks further cuts amid the administration's broader pullback of white-collar law enforcement. The

IRS enforcement workforce would fall below 30,000, fewer than at the end of Trump's first term and about a third less than the Biden-era peak.

The retrenchment is spurring a vibe shift across the tax landscape ahead of the April 15 deadline, and lawyers say they see more taxpayers and tax-shelter promoters eager to cut corners or cheat.

"There's seemingly this mentality building which is, 'The IRS isn't going to catch me,'" said Carolyn Schenk, a former IRS na-

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Mexico Has Major Crush On Top Cop

Face of anti-cartel fight is national sex symbol

By ROBERT P. WALZER

In a country long plagued by drug-linked violence, Omar García Harfuch is inspiring a different kind of fixation.

The square-jawed face of Mexico's anti-cartel campaign has become an unlikely sex symbol—his manly likeness splashed on blankets, reimagined in AI-generated fantasies and recast as caped crusader.

At street markets and online, shoppers browse "Harfuchito" dolls, life-size pillows, flannel throws and cakes bearing his image, depicting him either in a suit or shirtless.

He's memorialized in corri-

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AI Demand Outstrips Computing Capacity

By ANGEL AU-YEUNG
AND ROBBIE WHELAN

The artificial-intelligence gold rush is rapidly drying up the supply of the one resource that AI developers can't do without: computing power.

The sharp capacity crunch has caused consternation among power users, forced companies to scuttle products and led to reliability problems. The issues are a warning sign for the AI boom, as they may limit the utility of powerful new AI tools just as massive amounts of users have begun to rely on them to boost productivity.

Over the past few months, demand has exploded for "agentic" AI, autonomous tools that use the technology to independently perform tasks, from writing software code to scheduling house tours for real-estate brokers. Companies have been scrambling to se-

cure the availability of computing capacity needed to serve a growing base of customers who are also significantly increasing their AI use.

"Everyone's talking about oil, but I think what the world is mainly short of is tokens," said Ben Pouladian, an engineer and tech investor based in Los Angeles. A token is a unit of measurement in AI to track how much computing resources are being used for a task. "AI is at this point no longer just some chatbot that we ask for a recipe while we stand in front of the fridge. It's orchestrating tasks, it's getting smarter," Pouladian said.

All of it points to a classic problem that has popped up in technology booms throughout history, from the 19th-century railroad expansion to the telecom and internet explosion of the early 2000s: Demand is growing far faster than compa-

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